HOW IT WORKS: A 401(K)

Paris was financially illiterate as a teenager, but she read this book and now understands the importance of saving early for retirement. She has just landed her first job and is making $80,000 a year. Go, Paris. On her first day, the human resources representative informs her that the company has a 401(k) plan with an employer match and asks if Paris wants to participate, to which she replies, "Absolutely, I do".

The company's plan matches 50% of her contributions up to 6% of her salary. This means for every contribution Paris makes, her company will put in an additional 50% of that. If she puts in $100, they put in $50; if she puts in $250, they put in $125; if she puts in $1,000, they put in $500, and so on. But because the match stops when Paris has contributed 6% of her salary, or $4,800, it means the employer will not contribute more than $2,400 (50% of $4,800) in one year. Paris can continue contributing to her 401(k), but the company will not provide a match beyond its $2,400 contribution.

Let's assume Paris is twenty-five years old, she will keep investing in the account for 40 years (until she is sixty-five), and she averages a 7% return on investment.